August 2026 Investment Report

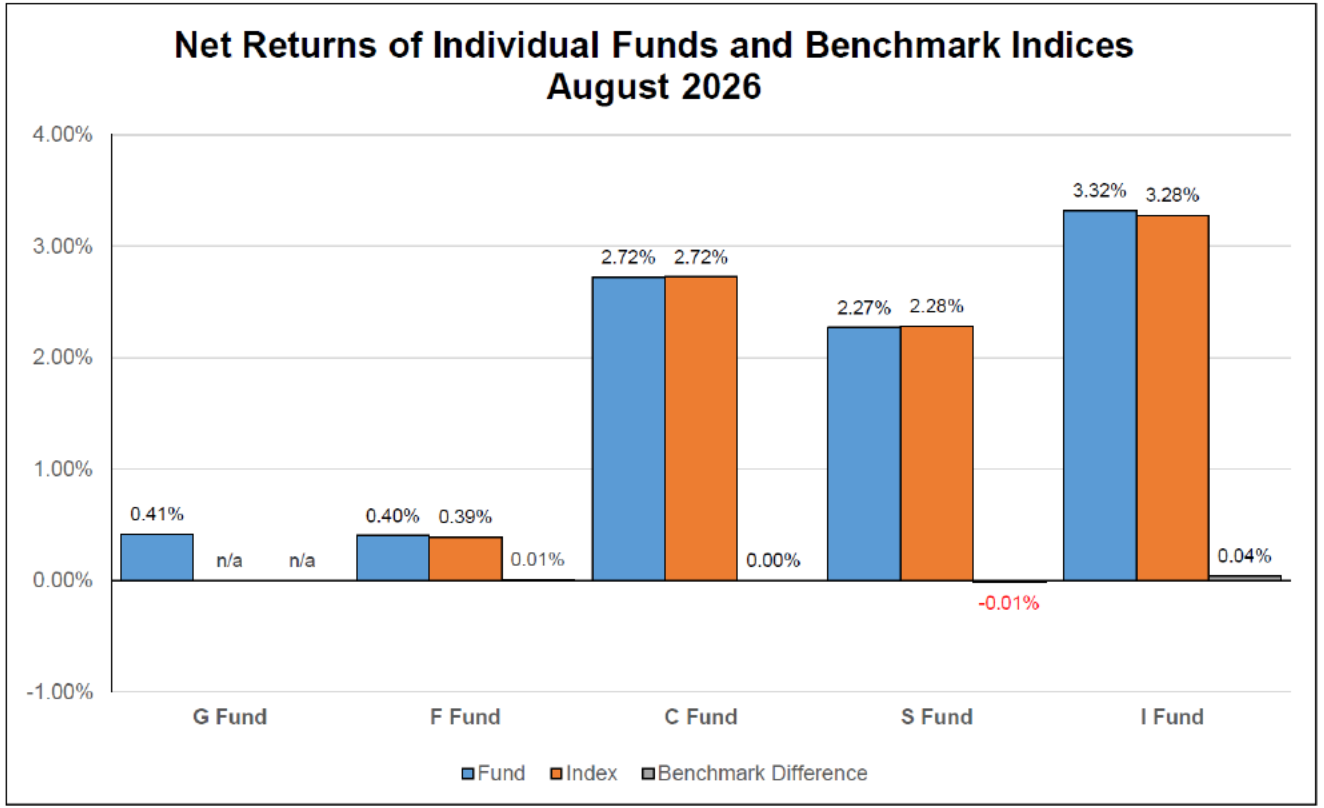
Presented By
Mike Jerue, Chief Investment Officer

September 22, 2026

Thrift Savings Plan
Federal Retirement Thrift Investment Board
tsp.gov

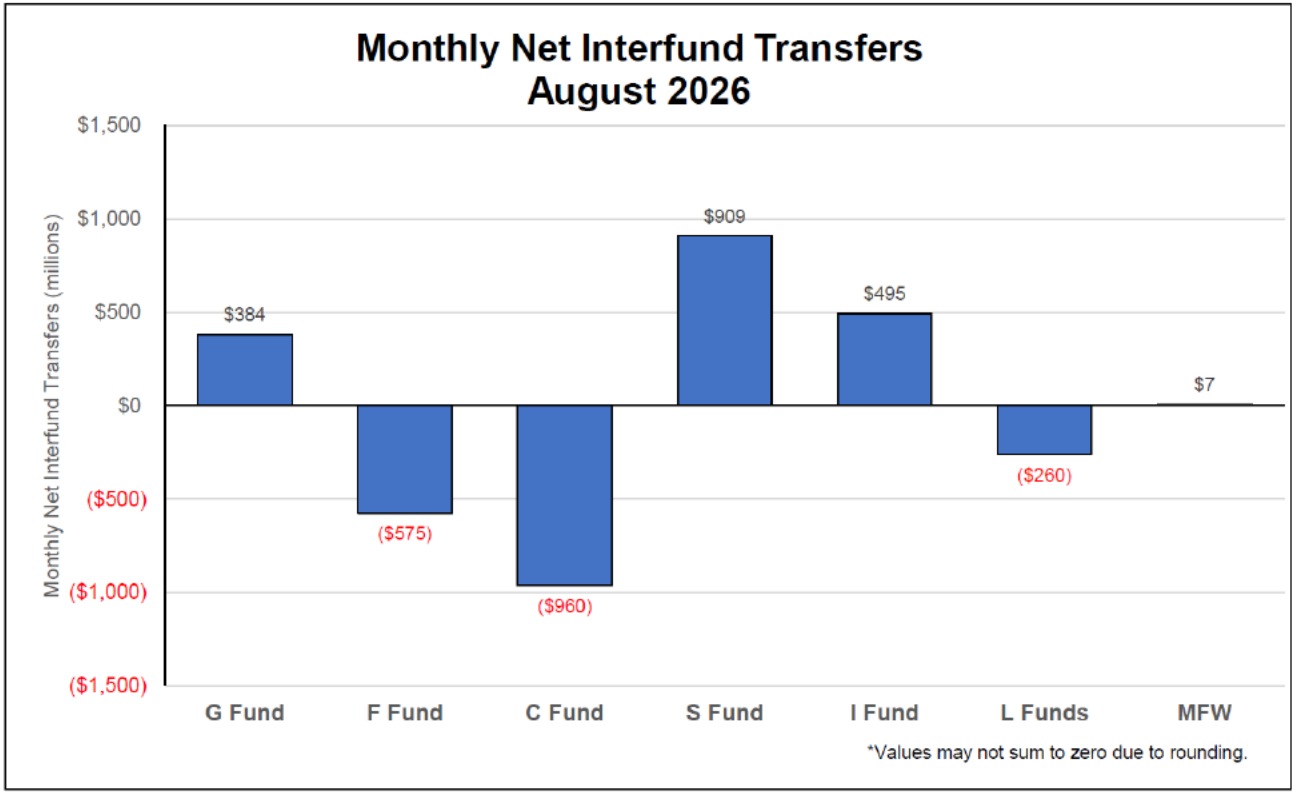
August 2026 Fund Performance

F, C, S, and I Funds: BlackRock and State Street delivered returns in line with benchmarks



August 2026 Investment Highlights

Less than 2% of participants moved assets between funds



Thrift Savings Plan

Questions



FEDERAL RETIREMENT THRIFT INVESTMENT BOARD
77 K Street NE, Washington, DC 20002

MEMORANDUM FOR BOARD MEMBERS

GERBER, BILYEU, BRIDGES, AND OLIVARES

FROM: Mike Jerue, Chief Investment Officer

DATE: September 22, 2026

SUBJECT: August 2026 Investment Program Review

INTRODUCTION

This report reviews key aspects of the TSP's investment program, including performance, benchmark differences, interfund transfer activity, and participant allocations.

RETURNS AND BENCHMARK DIFFERENCES

The tables below contain the monthly and year-to-date (YTD) returns and benchmark differences for the F, C, S, and I Funds and for the separate accounts managed by BlackRock and State Street. Due to rounding, the benchmark differences may not match the differences in displayed returns.

August 2026 Returns and Benchmark Differences

		Fixed Income (F Fund)	Large Cap (C Fund)	Small Mid Cap (S Fund)	International (I Fund)
Return	**Index**	0.39%	2.72%	2.28%	3.28%
	BlackRock	0.40%	2.72%	2.26%	3.32%
	State Street	0.41%	2.72%	2.30%	3.32%
	TSP Fund (Net)	0.40%	2.72%	2.27%	3.32%
Benchmark Difference	**BlackRock**	0.01%	0.00%	-0.02%	0.04%
	State Street	0.02%	0.00%	0.01%	0.05%
	TSP Fund	0.01%	0.00%	-0.01%	0.04%

BlackRock's performance for the F, C, and S Funds was in line with the Funds' respective indices for the month. Its performance for the I Fund was ahead of the International Index by 4 basis points, primarily due to adjustments to tax accruals for unrealized capital gains.

State Street's performance for the F, C, and S Funds was in line with the Funds' respective indices for the month. Its performance for the I Fund was ahead of the International Index by 5 basis points, primarily due to adjustments to tax accruals for unrealized capital gains.

2026 YTD Returns and Benchmark Differences

		Fixed Income (F Fund)	Large Cap (C Fund)	Small Mid Cap (S Fund)	International (I Fund)
Return	**Index**	-0.31%	13.14%	15.93%	18.87%
	BlackRock	-0.15%	13.14%	16.11%	19.20%
	State Street	-0.11%	13.14%	16.12%	19.22%
	TSP Fund (Net)	-0.16%	13.12%	16.10%	19.18%
Benchmark Difference	**BlackRock**	0.15%	0.01%	0.19%	0.33%
	State Street	0.19%	0.01%	0.20%	0.35%
	TSP Fund	0.14%	-0.01%	0.18%	0.31%

Year-to-date, BlackRock's performance for the F Fund was ahead of the Fixed Income Index by 15 basis points, primarily due to securities lending and a difference in the timing of pricing by the index provider and by BlackRock on the last trading day of December 2025. Its performance for the C Fund was in line with the Large Cap Index. For the S Fund, BlackRock was ahead of the Small Mid Cap Index by 19 basis points, primarily due to securities lending. Its performance for the I Fund exceeded the International Index by 33 basis points, primarily due to tax advantage.

Year-to-date, State Street's performance for the F Fund was ahead of the Fixed Income Index by 19 basis points, primarily due to securities lending and a difference in the timing of pricing by the index provider and by State Street on the last trading day of December 2025. Its performance for the C Fund was in line with the Large Cap Index. For the S Fund, State Street was ahead of the Small Mid Cap Index by 20 basis points, primarily due to securities lending and securities sampling. Its performance for the I Fund exceeded the International Index by 35 basis points, primarily due to tax advantage.

Annualized Net Returns as of August 31, 2026

	1-Year	3-Year	5-Year	10-Year
G Fund	4.46%	4.48%	3.91%	2.94%

	1-Year	3-Year	5-Year	10-Year
F Fund	1.94%	4.09%	-0.22%	1.49%
Bloomberg US Agg Bond Index	1.89%	4.08%	-0.29%	1.40%
Benchmark Difference	0.05%	0.01%	0.06%	0.09%

	1-Year	3-Year	5-Year	10-Year
C Fund	20.36%	21.00%	12.76%	15.34%
S&P 500 Index	20.38%	21.04%	12.79%	15.37%
Benchmark Difference	-0.02%	-0.04%	-0.03%	-0.03%

	1-Year	3-Year	5-Year	10-Year
S Fund	18.68%	18.29%	6.20%	11.73%
Dow Jones US Completion TSM Index	18.44%	18.13%	6.00%	11.58%
Benchmark Difference	0.24%	0.16%	0.20%	0.15%

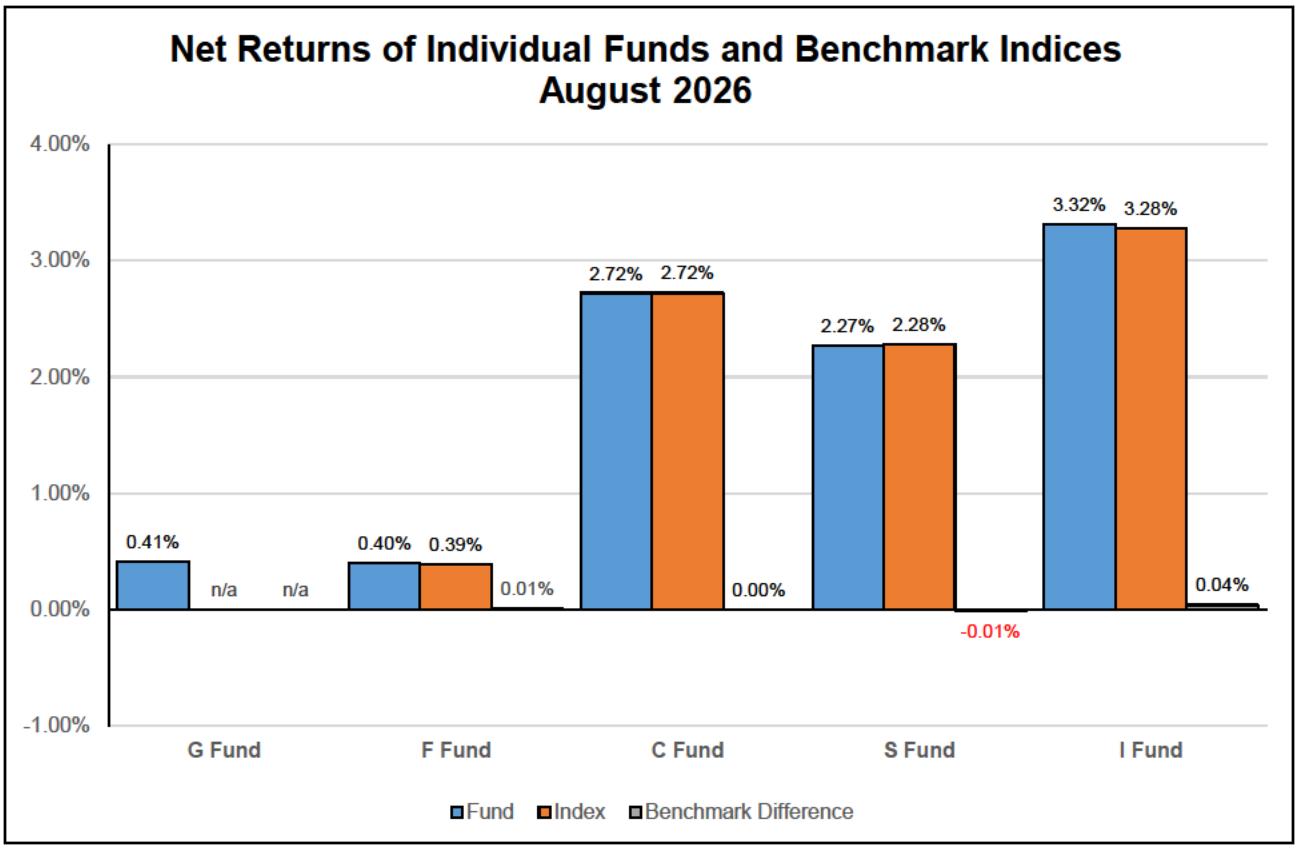
	1-Year	3-Year	5-Year	10-Year
I Fund	29.93%	20.69%	10.84%	10.46%
International Index*	29.65%	20.37%	10.52%	10.12%
Benchmark Difference	0.28%	0.33%	0.32%	0.33%

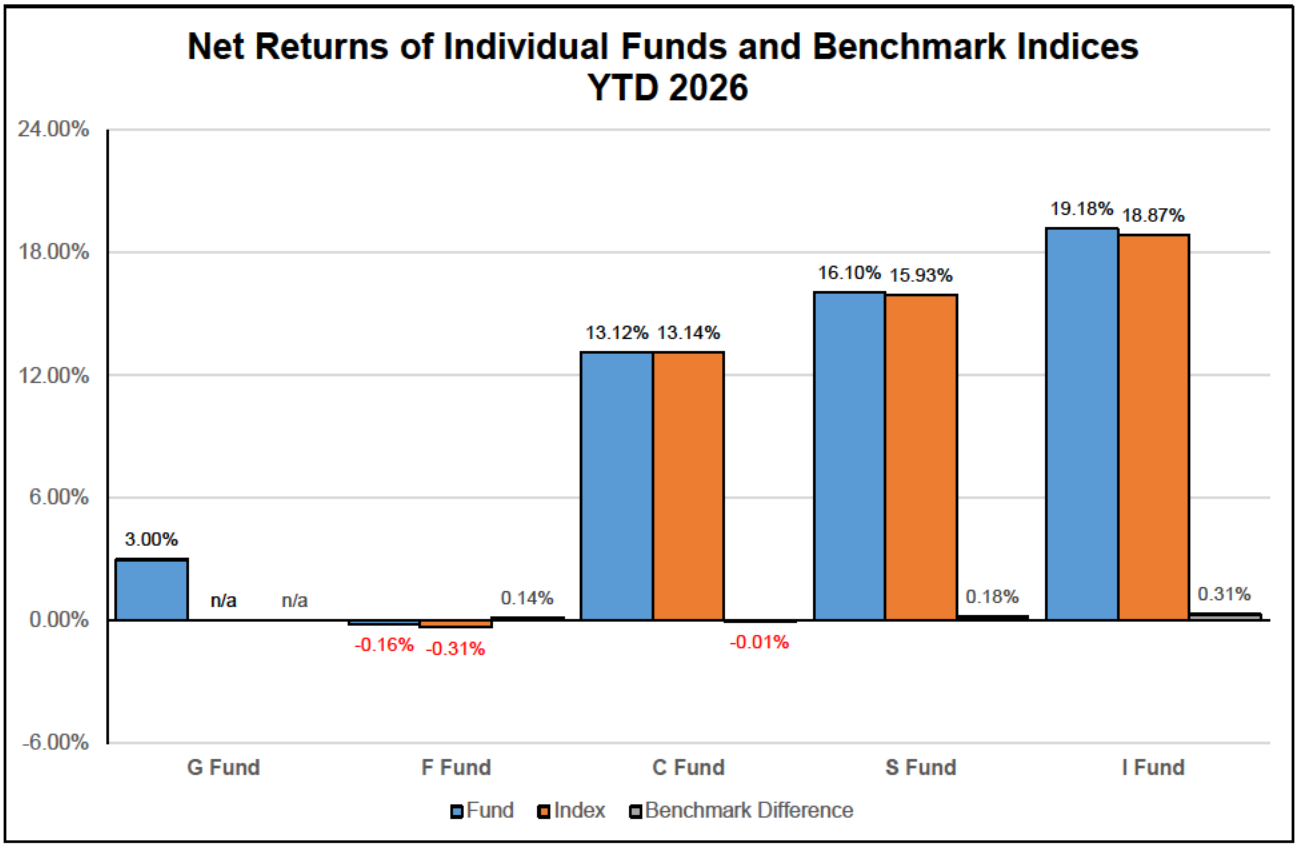
* MSCI EAFE through July 31, 2024; MSCI ACWI IMI ex USA ex China ex Hong Kong thereafter.

	Inception Date	1-Year	3-Year	5-Year	10-Year
L Income Fund	August 1, 2005	9.46%	8.79%	5.98%	5.48%
L 2030 Fund	August 1, 2005	14.90%	13.97%	8.27%	9.27%
L 2035 Fund	July 1, 2020	16.73%	15.16%	8.78%	N/A
L 2040 Fund	August 1, 2005	17.84%	16.10%	9.17%	10.48%
L 2045 Fund	July 1, 2020	18.80%	16.91%	9.47%	N/A
L 2050 Fund	January 31, 2011	19.78%	17.72%	9.80%	11.46%
L 2055 Fund	July 1, 2020	23.35%	20.54%	11.23%	N/A
L 2060 Fund	July 1, 2020	23.35%	20.54%	11.23%	N/A
L 2065 Fund	July 1, 2020	23.35%	20.54%	11.23%	N/A
L 2070 Fund	July 26, 2024	23.34%	N/A	N/A	N/A
L 2075 Fund	June 30, 2025	23.34%	N/A	N/A	N/A

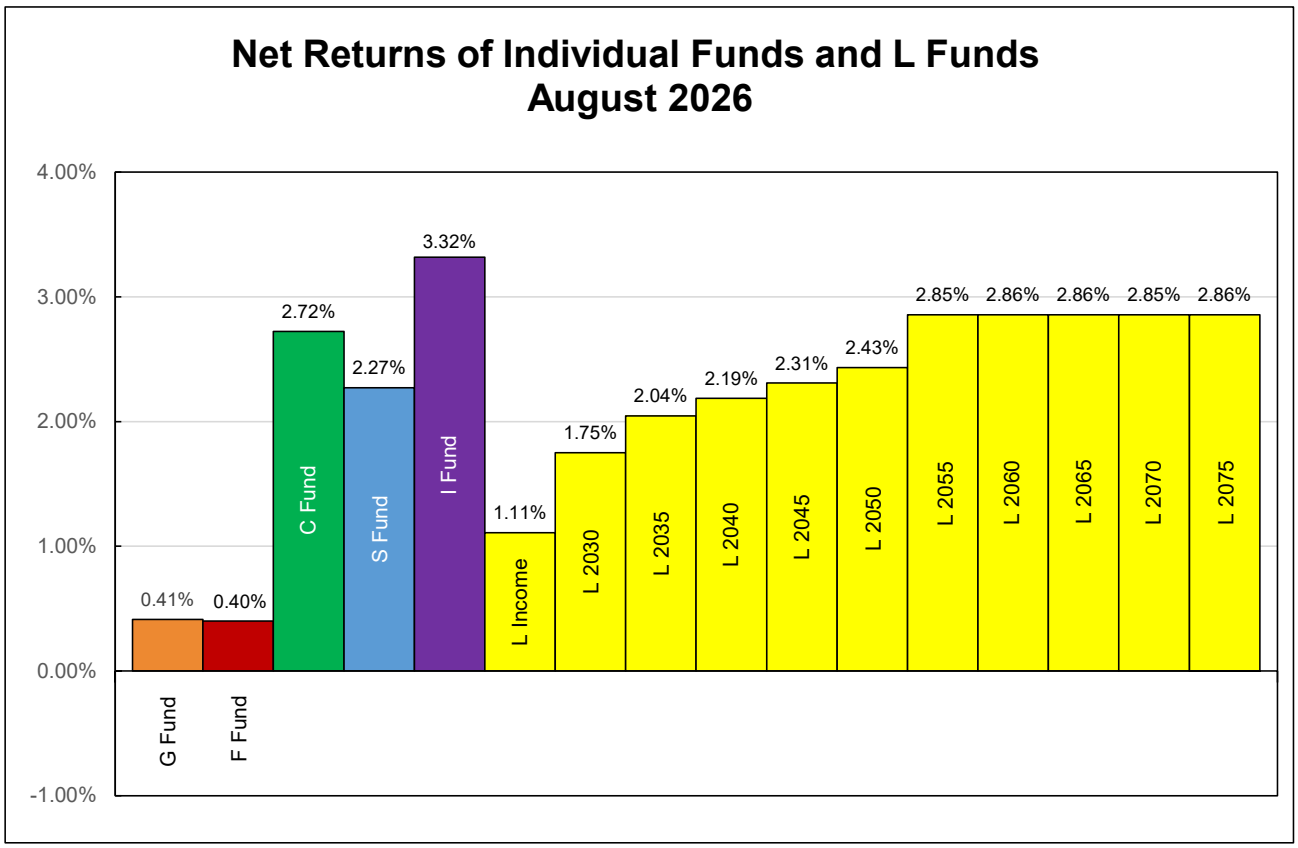
Performance of TSP Funds

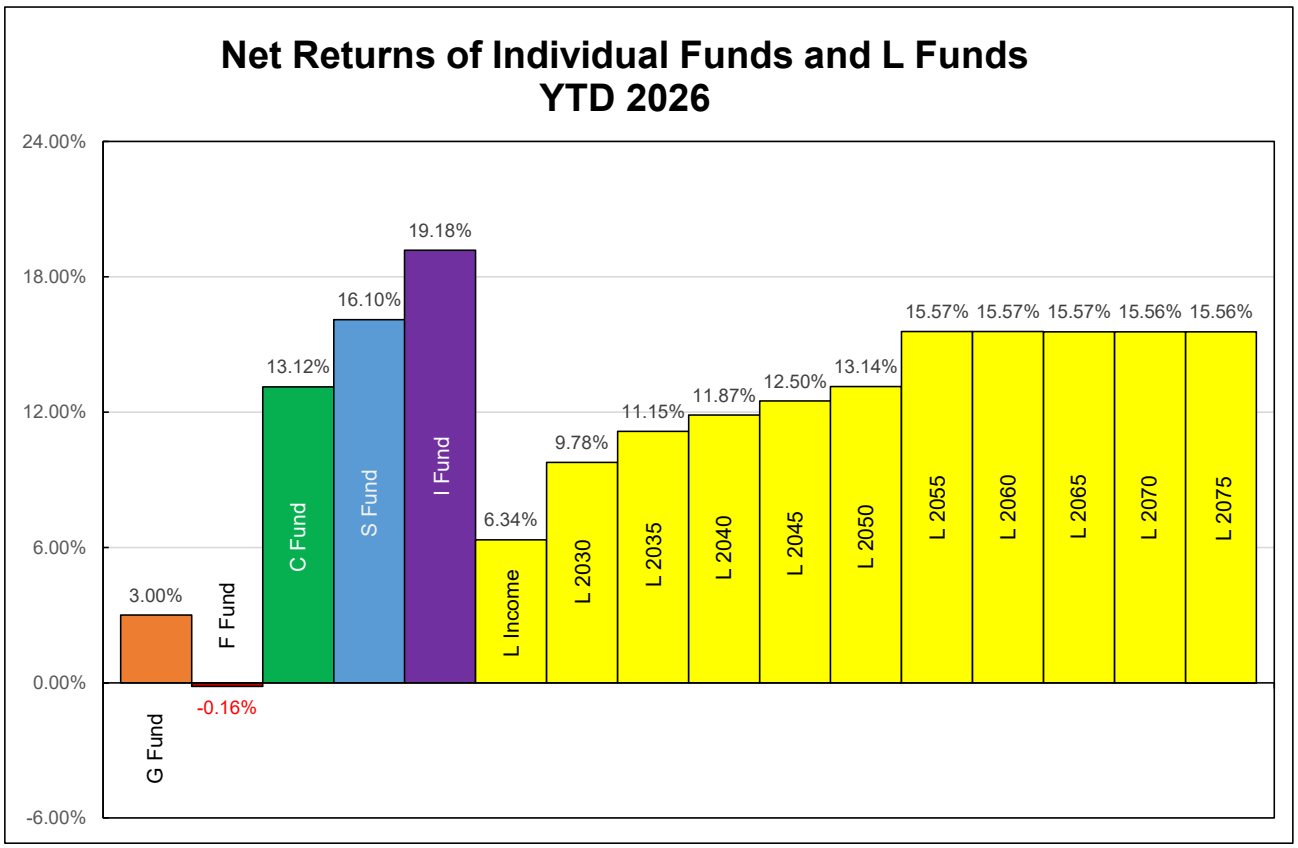
The charts below show the G, F, C, S, and I Fund net rates of return vs. their respective benchmark indices.



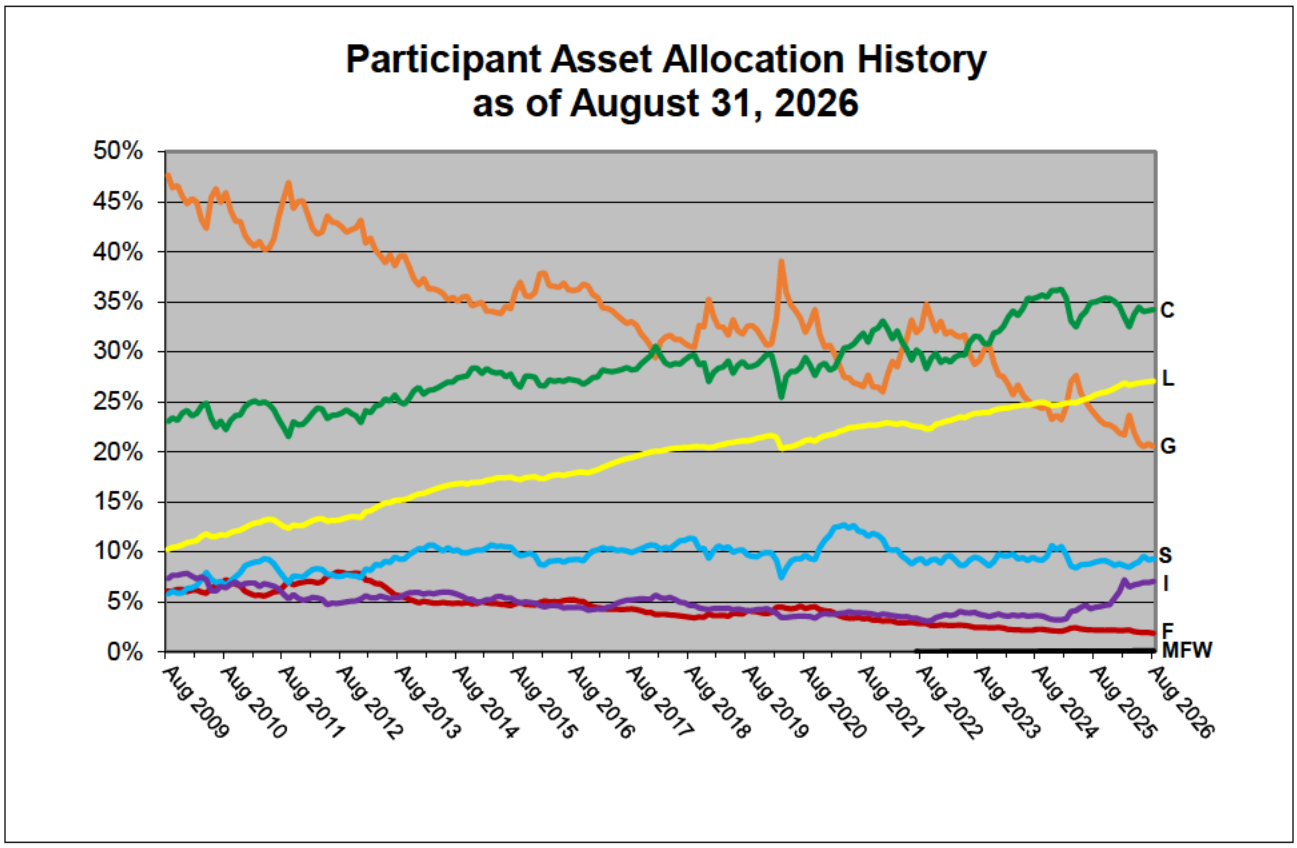


Net rates of return for the L Funds are shown below, along with comparable returns for the G, F, C, S, and I Funds.





Asset Allocation

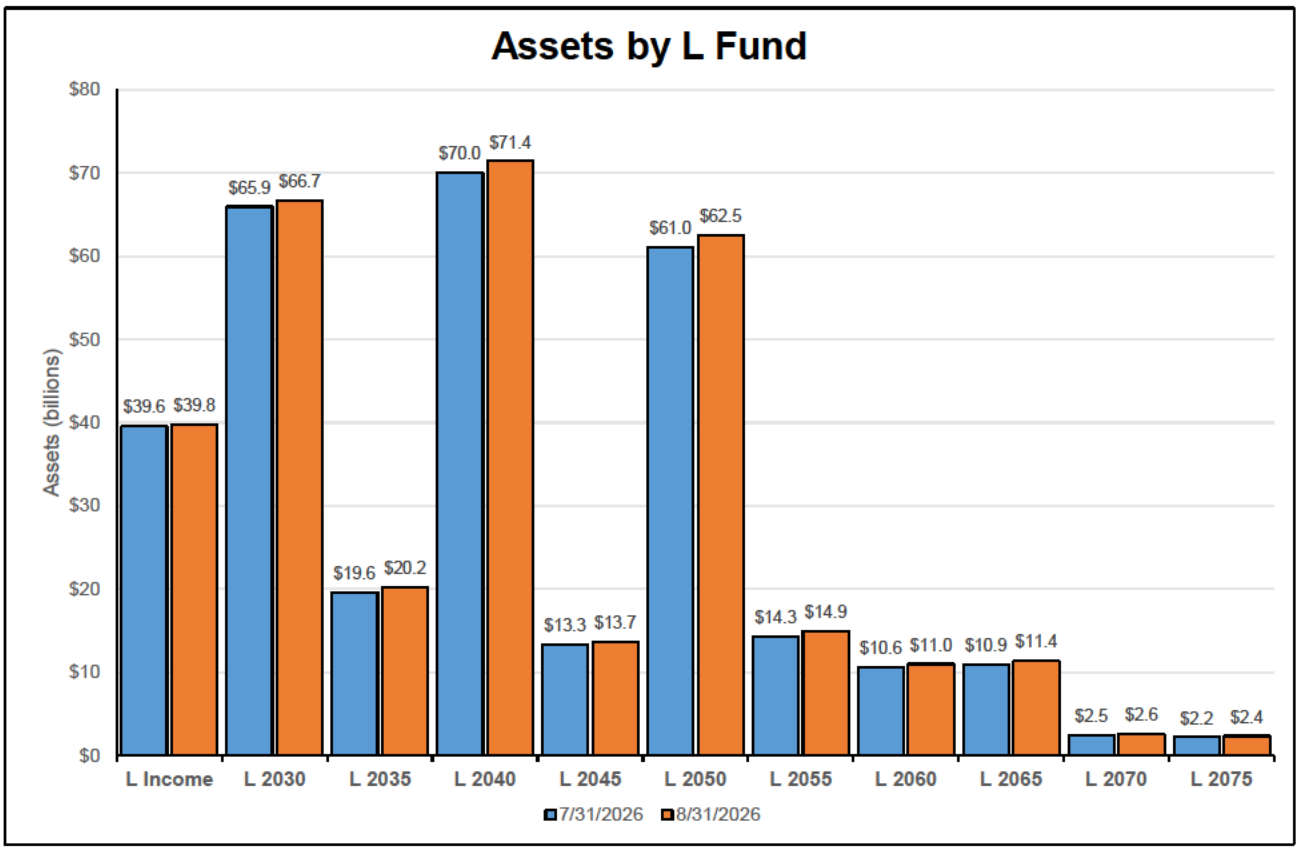


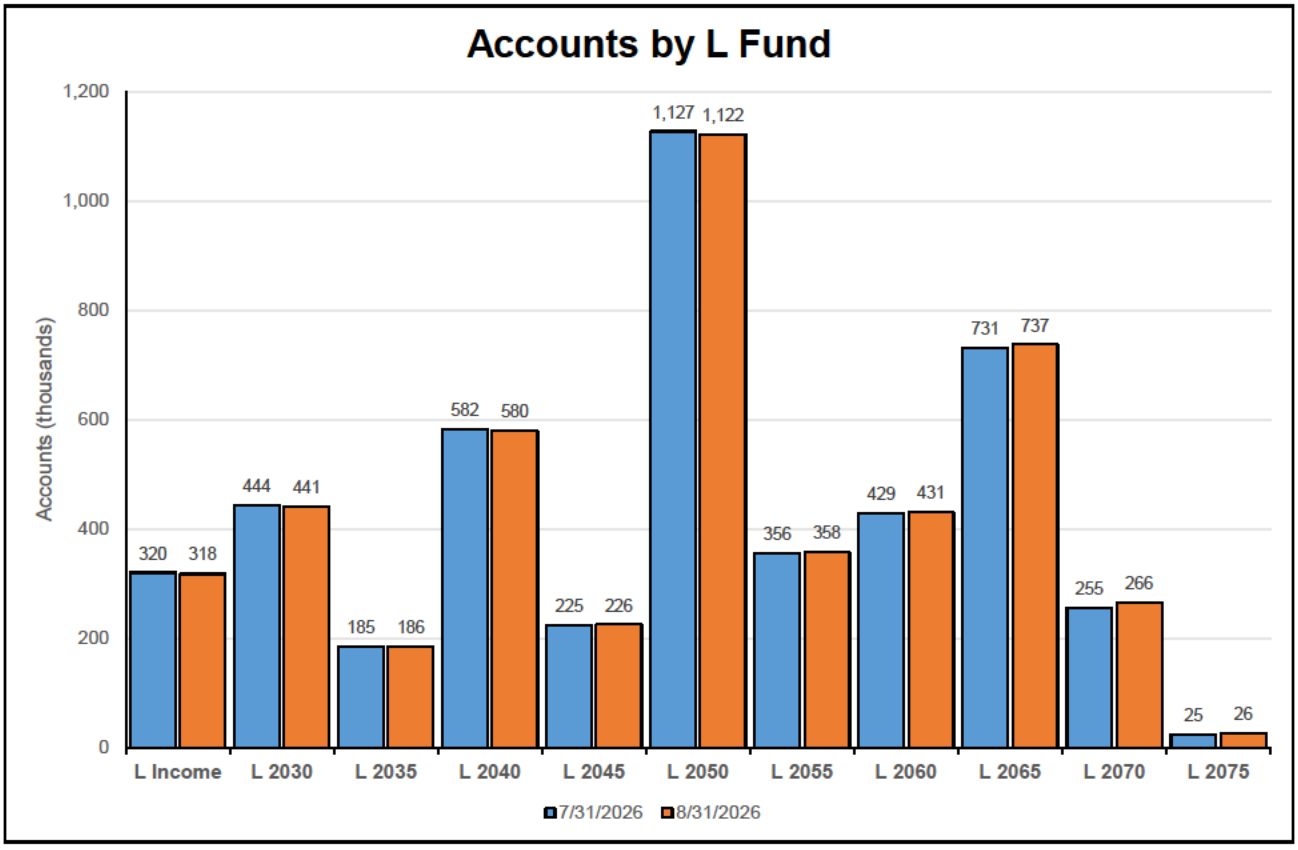
Asset Allocation as of August 31, 2026

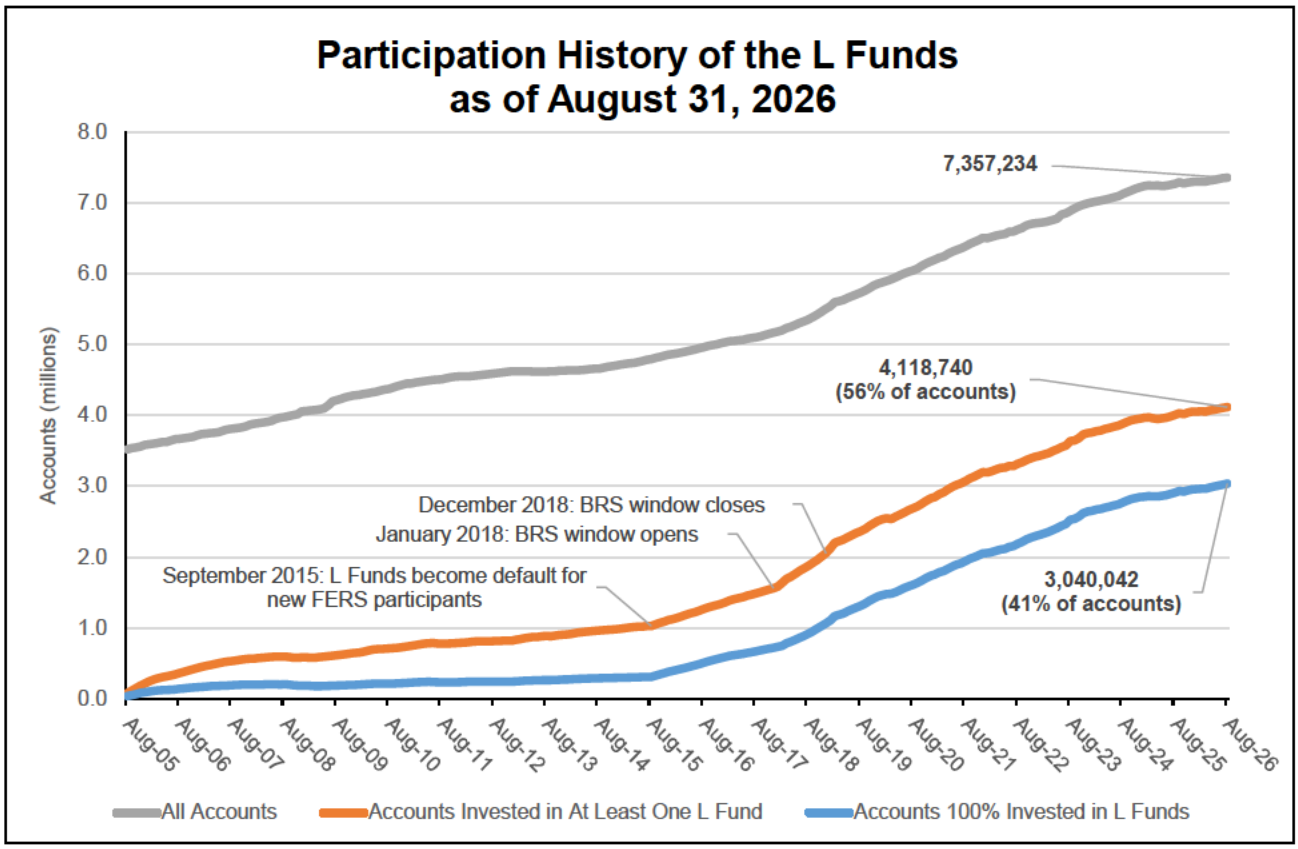
	Participant Allocation		Individual TSP Funds	
	Assets (Billions)	Share of Total	Assets (Billions)	Share of Total
G Fund	$239.7	20.5%	$323.8	27.7%
F Fund	$21.5	1.8%	$39.0	3.3%
C Fund	$400.1	34.2%	$511.9	43.8%
S Fund	$108.5	9.3%	$136.4	11.7%
I Fund	$82.1	7.0%	$157.5	13.5%
L Funds	$316.6	27.1%	n/a	n/a
MFW	$1.0	0.1%	$1.0	0.1%
Total	$1,169.5	100.0%	$1,169.5	100.0%

*Components may not sum to totals due to rounding.

Lifecycle (L) Funds







Interfund Transfer Activity

